



SIGNALLING AND SHRM: THE MICROECONOMICS OF INCLUSION (2026)

MSc Dissertation Thesis



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Acknowledgements

I am forever grateful to Almighty God, my strength, my fortress, my redeemer. My senior pastors and ministers, my parents and friends for being supportive of this endeavour I have been called to pursue and my course mates for endless support along the way. Throughout the experience of postgraduate studies at *The Open University* (OU), I have been supported by several internal departments, external organisations and numerous people in academia who have worked endlessly to craft my critical understanding of Human Resource Management and who have helped define my research topic around employee wellbeing. These include *Library Research Support*, *Student Support* and of course my former OU lecturers and current OU tutors. I would also like to take this opportunity to convey my gratitude and a tremendous thank you to all of those who have helped finance my learning and research endeavours, either through tuition loans or grants, particularly I would like to draw attention to the efforts of the *Royal Economic Society*, *Finance England* (SFE) and the *Open University Student Budget Account* (OUSBA) who have helped me settle in and funded my pursuit throughout my time as a postgraduate student.

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Evidence-Based Research



THESIS TITLE:

Do SHRM Signalling Practices, Compared to Conventional HRM Approaches, Affect How Diverse Candidates Perceive the Employee Journey? Investigating the “Microeconomics of Inclusion” with Survey Evidence

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Abstract

By hypothesising that SHRM signalling practices as organizational cues are designed to communicate SHRM initiatives to workers, this paper assesses responses using a two-staged least squared (2SLS) regression model and instrumental variable approach. This paper presents a study into the stability of an equilibrium between firm profitability given outlay on wages under optimality constraints and a SHRM signal using data sampled from the African Development Bank on expected wage demands given education.

Keywords: Information design, signalling, corporate communication, 2SLS, quantitative methods, econometrics, instrumental variable

1 | Introduction

Artificial Intelligence (“AI”) has been argued to carry the potential to promote or affect various types of diversity, equity and inclusion (DEI), to mitigate the consequence of overexposure to unconscious biases, and to help design more comprehensive signalling approaches to attract talent, recruit and retain new employees and to develop an overarching organisational focus on *cultural* diversity (Ramroop, 2025) more generally. However, according to Chilunjika, *et. al.* (2022), a gap exists in the research on AI’s application to HRM in the public sector. AI is an umbrella term for concepts such as machine learning, NLP, vision recognition/image processing and other key algorithmic terms. Gaps certainly do exist in the form of strategic choices available to supervised learning algorithms (Li, Raymond, and Bergman, 2020) concerning the contextual bandit problem, however, one of the more pronounced gaps in the literature is the more recent focus on AI and employment balances for neurodivergent and neurotypical applicants (Mirowska and Arsenyan, 2025; Smith *et. al.*, 2025) which assumes the capture of those in work who suffer from either Bipolar 1 or 2.

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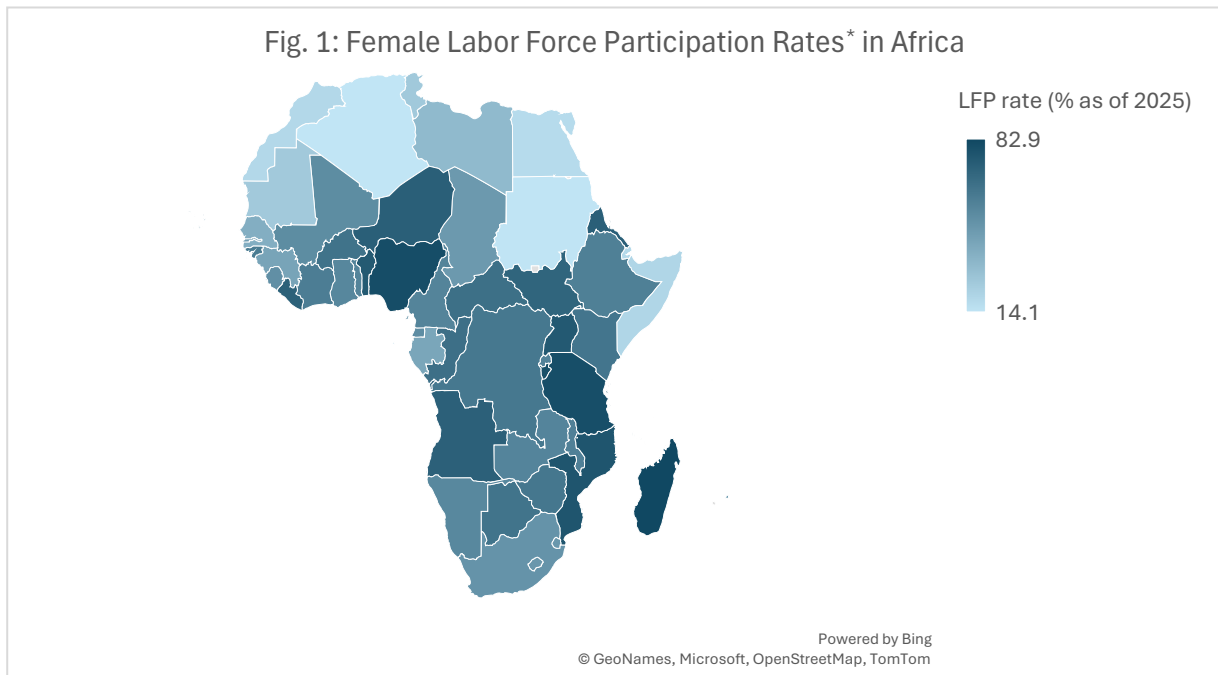
While AI and signalling are very distinct, Kolotilin *et. al.* (2025) defines two explicit cases in their work on *Bayesian persuasion*—where a sender attempts to persuade a receiver to take a particular action (to hire given a signal message)—one being the linear case, and the other being the nonlinear case. In a written work on signalling and its HRM context, another cohort of authors find evidence—in a review of digitalisation—that recruitment and selection is indeed (mostly) a *linear* process (Gentzkow and Kamenica, 2016) viewed in its *traditional* sense (Ilyushina, Walker and Timming, 2024). If we assume the linear case, i.e. a *frictionless* signal or a case where the sender and receiver design a signal that maximises the probability of signal realization, then the premise of this study is rather trivial and the question answers itself—many-to-one offers are equal to where a market clearing wage equals marginal profit. However, if we consider the nonlinear case *with costly frictions* (Che, Kim and Mierendorff, 2022) for both the sender and receiver, then the problem becomes more complex.

It is often the case that strategic narratives (Miles and Snow, 1984; Lengnick-Hall and Lengnick-Hall, 1988) of HRM tend to focus historically on unitarian forms of stakeholder capitalism especially under the resource-based view of HRM (Lado and Wilson, 1994), where the shareholder's incentive and competitiveness is prioritised (Wright and Steinbach, 2022) but as Chapter 8 of Van Riel and Fombrun (2007) indicates, shareholders are not the only stakeholders in the organization with incentive to act in the interests of the organization (what Lado and Wilson refer to as 'proclivity'), workers too, can be viewed as *internal* stakeholders. Signalling theory (Spence, 1973) therefore, widely seen as a seminal work (van Damme and Guth, 1991, p.264) postulates a microscopic lens into the origins of signalling in economic theory demonstrating how '*unobserved* productivity' between workers and firms (Bafera and Kleinert, 2023) sets the scene for a cogent analysis of competing interests with respect to a many-to-one job market solution (Kolotilin *et. al.*, 2024; Ilyushina, Walker and Timming, 2024). It remains the case that Spence (1973)'s central argument—that signals act as communicative devices between firm and worker, such as when workers invest *more* in education signalling to employers that a higher wage is expected—is yet to be reconciled comprehensively with recent work on HRM, optimal signalling when workers are matched in groups and peer effects (Kolotilin, 2024).

This paper presents a study into how workers observe inclusive HRM strategies (Ramroop, 2025) both internally and externally in a VUCA environment (Barney, 1991) and how this links to optimal signalling throughout the employee journey and workforce lifecycle (Celani and Singh, 2011; Mayaki, 2024; Miller and Doyle, 2025). The study investigates several reoccurring themes in the work of Celani and Singh (2011), Guest (2021) and Miller and Doyle (2025) with the premise of a recently published research article on signalling theory forming a large part of the literature review. The study extends Miller and Doyle's work by galvanising responses to a survey consisting of 11 questions and undertakes a 2SLS regression analysis (Greene, 2003; Chen, 2019), with an instrumental variable (IV).

2 | The Model

With the rise in AI, the central planner's problem changes from shifting the unemployment rate up to increasing the level of *female* labor force participation (Iheonu *et. al.*, 2020) in economies such as Morocco and Egypt. Let us firstly assume that a multinational firm's workforce $F_N(t)$, seeks to employ a cohort of n_M line managers, and n_N non-supervisory staff members at a new geographical location, with a given allocated personnel expense which we may refer to as a wage allowance or wage budget $[B(t) \cdot (w)_N(t)]$. The shareholders of this organization $S(t)$ vote unanimously in a motion that a cohort of line managers and non-supervisory workers must be closely managed by a team of embedded human resource managers n_H in order to facilitate a geographical expansion of the firm into this new geographical location. New task roles and role profiles for all three categories of work (line managerial employees, non-supervisory staff, and human resource professionals) are created, and a headcount figure is estimated for each role as part of a workforce plan. The firm's primary problem is a labor market wage allocation problem: Given an estimated annual turnover of $T_N(t)$, what should the optimal wage be set to in order to attract and ensure all three cohorts of workers are sufficiently skilled, productive, and that the firm earns a reasonable percentage of competitive market share in the first year of trading as a market entrant? The solution to this labor market problem of allocation of female workers is of course partly dependent on the size of the wage budget $B(t) \cdot (w)_N(t)$, which is a function of the firm's estimated annual turnover $T_F(t)$. However, one might argue that strategic management, narrative² and choice rather than simply the offered wage is the central consideration for company shareholders and senior management alike (Porter, 2008; Anderson and Markides, 2007).



² We use this term to generally imply the existence of any type of strategic planning within practice.

*This is a demographic measure of all eligible female adults (aged 15-64).

How then is *female* labor participation treated as a granular datapoint? Let us now assume the workforce are allocated in a nonlinear way to a firm on the basis of productive output (Kolotilin *et. al.*, 2024) the cumulative distribution of which is strictly quasi-concave, non-decreasing, continuous and homogenous of degree 1 in $w_N(t)$ (Varian, 1992; p.72). There are an infinite number of allocations for each firm in an economy $E_F(t)$ and a finite number of firm-to-firm transfers, which occur at a realised cost. Firms may signal to workers that working practices, $P_N(t)$ are either competency-based, contingency-based or high-commitment focused. Competency-based working practices have monotonic along firm output, prioritising skill and efficiency. Whereas contingency-based working practices foster the following innovative HRM policies: collaboration, a high level of creative freedom under supervision and long-term appraisal and incentives reflecting groupwork. High-commitment working practices prioritise resources. All workers, including female workers, may only signal to firms their level of experience and education which infers productive capacity and a wage demand. We can then produce an objective function, where the real wage supplied to N workers $w_N^S(t)$ at time t is equal to the total firm revenue $T_F(t)$ minus the firm specific wage budget divided by the number of the workers and multiplied by a firm specific vector of working practices. This objective function is then constrained by an inequality identity which describes a condition where the vector of working practices is strictly greater than the number of firms in the sector.

$$(1.11) \quad w_N^S(t) = \frac{[T_F(t) - B(t)]}{F_N(t)} \cdot P_N(t)$$

subject to

$$(1.12) \quad P_N(t) > \frac{1}{E_F(t)}$$

$$(1.13) \quad w_N^D(t) = \frac{E_U(t) + E_X(t)}{1} \cdot U_N(t)$$

$$(1.14) \quad w_N^S(t) = w_N^D(t)$$

$$(1.15) \quad \frac{[T_F(t) - B(t)]}{F_N(t)} \cdot P_N(t) = \frac{E_U(t) + E_X(t)}{1} \cdot U_N(t)$$

In Figure 2.1 (below), the wage supply is equal to the wage demanded by N workers which is slightly more easy to deduce as the function $w_N^D(t)$ because it is composed of exogenously determined variables; the worker's signal of their level of education E_U and the worker's signal of their skills level or level of experience E_X multiplied by the likelihood that the worker is a member of an politically affiliated trade union.

3 | Data Collection

Firstly, the expected wage or demanded wage at time t for a graduate given their level of education (1st degree, 2nd degree or 3rd degree), which is a variable proxy representing the survey response concerning one's wage demands relative to one's current level of education at time t , and secondly, a realised market wage which firms have used to attract new workers. This wage discrepancy is a proven method of ensuring the avoidance of workers who are likely to shirk or to a lesser extent, avoidance of pooled workers signalling low productivity levels. Table 3.1 (below) illustrates these variables as one-half of the simultaneous equation system, where the problem is always to balance the incentives of the worker with the motivation of the employer in a long-run equilibrium. In Table 3.1—which illustrates the second half of the simultaneous equation system—the model assumes that the employer observes (or has *full* disclosure of) the revealed productivity of current workers, profitability of their business unit, and thereafter sets its wage in subsequent t periods.

Table 3.1: Modelling structural data using key variables

Key Variable	Representation
Expected wage given level of education	E_t
Firmwide observed wage-level data	W_t

4 | Methodological Approach

The study builds on the recently published work of Miller and Doyle (2025). The nature of the newly formatted participant survey questions (See Appendices) remains consistent with Miller and Doyle's original survey after a transformation from open format to closed. The interrogation format was ultimately changed from open to closed to better quantify responses of employees. The ten new questions ascend from 1-10 in a Likert scale where 1 equates to a strong disagreement and 10 equates to the highest possible level of agreement across all questions. The forte of this format is it allows structural estimates to be derived when these survey variables are embedded into an objective function (a constrained maximisation problem). The two-stage least squared (2SLS) regression model (Greene, 2003; Chen, 2019) in equation 3.1 is defined as the dependent variable: W_t representing the demanded wage of the worker, an intercept β_0 , an observed intertemporal level of education variable and its estimator β_1 and X_1 , and finally a residual or error term, ε :

$$(3.1) \quad \text{Expected Wage } (W_t) = \text{Intercept } (\beta_0) + \beta_{1t} \text{Education}(X_{1t}) + \beta_{2t} \text{Dummy } (X_{2t}) + \varepsilon$$

In the 2SLS, the first stage (the instrument) identifies a dummy variable (Z) that is correlated with the HRM signal (the 'treatment') but is uncorrelated with the dependent variable's error term. For example, $Z = 1$ when an employer provides a list of frequently requested adjustments and $Z = 0$ when this list is not provided in the recruitment process. In the 2SLS second stage (the outcome), the study uses the predicted values from the first stage to estimate the impact on the dependent variable Y . In terms of variables, it was assumed that one key variable emerged as a primary source in the regression function, that is: the measure of worker education. The dependent variable Y is derived from a secondary source of data. These inferences, in part, form questions which in turn are separate to the research question and are therefore secondary in nature.

Table 3.1: Further Methodological Approaches

Handling outliers and skewness	Post normalisation <i>competitiveness index</i>
Addressing assumption violations	If fails homoskedasticity Then robust estimation
Measurement scale adjustments	Ordinal (rank based) Interval (numeric)

5 | Hypothesis Testing

The importance of the research survey should not be understated. It seeks to enquire into how diverse job applicants perceive their roles in the organization *prior to* being onboarded as employees (in other words, it asks how *neurodiverse* applicants interact as job candidates) through the proxy of website recruiting activities. The seminal applied instance of this research topic is the online ratings and HRM signalling paper pioneered by Chang and Chin (2018) who test evidence to investigate the hypothesis that three things are likely to occur prior to onboarding. Firstly, a high-commitment HRM strategy is pursued and that firms conduct recruitment online via a website. This assumes a finite degree of discretion is made on the part of the firm/sender. Secondly, the firm may initiate a signal to the receiver via a website. This signal communicates a list of reasonable adjustments (interview accommodations) which indicates the firm's high-commitment HRM strategy. This signal initiates an effect on the employees' online ratings. The authors (Chang and Chin, 2018) argue for five important hypotheses which form the starting point for this study:

Hypothesis 1: Firms with more high-commitment HRM will signal more HRM information on websites.

Hypothesis 2: Firms signalling more HRM on websites will see a trend of more applications.

Hypothesis 3: Firms' signalling of HRM fully mediates the effect of commitment HRM on recruitment.

Hypothesis 4: Firms' *actual* HRM influences employees post-experience outcomes

Hypothesis 5: Firms' signalling of HRM will not increase an employees' online ratings if the effect of commitment HRM (on recruitment) is controlled.

My research will aim to extend a gap on this topic by focusing on firm expenditure, capabilities, and resources, asking a question not currently addressed by the literature on signalling – how these factors affect competitive advantage given the specific context of signalling theory (Spence, 1973).

As a research topic, this thesis is partly covered by *signalling* (Spence, 1973), *applicant attraction* (Dutta and Mishra, 2021), *strategic HRM* (Miles and Snow, 1984) and *labour market analysis* (Acemoglu, *et. al.*, 2008; Pissarides, 2017). The following hypotheses are subject to supervisory changes and will be honed and amended as and when new information in the literature is discovered, reviewed and internalised. In order, these initial hypotheses read as follows:

Hypothesis 1: The average worker views the firm's intent to accommodate as inclusive.

Hypothesis 2: Firms signalling high-commitment HRM practices have happier workers

Hypothesis 3: Firms signalling high-commitment HRM strategies tend to be more inclusive.

Hypothesis 4: Firms harnessing the power of AI can achieve high-commitment *and* be optimally inclusive.

The null hypothesis of no correlation for this paper implies there needs to be two questions asked. The first question is in a separating equilibrium with known payoffs, and standard assumptions (complete information and perfect monitoring), how do employers successfully navigate a many-to-one “lottery” scenario, using the offered wage as an optimal signal or as a navigating mechanism? Secondly, but no less important, one must ask what the sub-game Pareto-optimal signal is (in a game of separating or pooling equilibrium (Kolotilin, 2024) an employer should send to all applicants in order to be inclusive? Also, at what level of signal does an employer who signals acceptance of a neurodiverse condition, become accepted by a diverse applicant?

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6 | Literature Review

The work of David Guest has been prominent in HRM literature for well over 30+ years. In Guest (2021), the author studies the staff members of numerous bank branches and primarily defines signalling theory as “communication *by* and *within* an organisation”, in contrast to evidence from Laker *et. al.* (2025). Citing Bowen and Ostroff (2004) as part of an integrated framework to study attribution theory, Guest (2021) concludes that signalling theory is to be viewed as a “*distinctive*” approach to the HRM process. He acknowledges limitations of cross-sectional methodology and calls for longitudinal research approaches. The article by Bowen and Ostroff (2004) is one which touches upon multi-level relationships between HRM and organisational performance through psychological “climate” as an example of higher-order social structures (other examples include organisational culture and organisational role structure, and organisational sensemaking (p.205). Bowen and Ostroff (2004) highlight the additional importance of “social context theory” where formal roles are defined by organisational systems and “maintenance subsystems”.

The gap in the signalling literature is not very vast but extends to recent work by Kolotilin *et. al.* (2024) and his formal proofs with application to media censorship and later to workers and firms. However, there is little or no example before Kolotilin *et. al.* (2024) of any recent empirical results showing survey evidence achieved through *primary* research. Comparing Kolotilin *et. al.* (2024) to van Damme and Guth (1989), the work of van Damme and Guth (1989) and thereafter van Damme and Guth (1991) explicitly refers to Spence (1973) in a model focused on perfect equilibria—as previously demonstrated in Mayaki (2024) via ‘disagreement points’ in what van Damme and Guth refer to as ‘*uniformly* perfect equilibria’—worker and firm frictions are seen as a significant element to equilibrium search and matching models. Here, one might counteract the pros of signalling by arguing that equilibrium analysis of corporate communication in HRM is too hypercritical, interested in detail which does not exist and is along the lines of the basic-hard approach, which fails to acknowledge the ‘H’ in HRM (Van Riel and Fombrun, 2007).

In the view of Spence (1973) the notion of hiring is made analogous to the rationale of purchasing a ticket for a lottery draw, which itself is a problematic notion due to the euphemisms of risk, value and eventual loss being invoked. This rationale of adopting such a gamble is best described per a model composed by Brown and Sessions (2004). Spence argues that there is often an element of informational asymmetry pertaining to full knowledge of the average worker’s capability in the job prior to such a lottery concept being invoked. Assuming the lottery concept is associated with information that is rarely fully disseminated, an employer’s perception of this lottery gamble is what Spence (1973) defines as a “primary interest” due to the uncertainty involved in making the proposed hire when weighed against the wages offered by the employer to the worker as compensation for services rendered. When discussing the lottery, we speak here of a singular instance of a repeated game. The terms of reference adhered to by Spence, constitute very strict and formal belief system for his term sheet mapping the employer’s perception of the lottery process. There are two kinds of observable

attributes mentioned in Spence's article: Indices and signals (Spence, 1973; p. 357). The term "indices" refers to "immutable" attributes observed by the employer amongst participants in the hiring 'lottery', attributes such as race or sex. This is followed closely by the term "signals", which references alterable attributes or those which can be manipulated by the candidate, such as education and experience. For the purposes of Spence's research, age is considered as an alterable attribute and is therefore seen to be an index. Signals and indices are seen to be "parameters" in the conditional probability distribution reflecting the "beliefs" of an employer.

Upon reflection with some experience and exposure to high-level dialogue gained through the Business in the Community (BITC) Opening Doors program (Impact in Business Recruitment, 2026), its fair and proper to infer proportionality. By this, I mean the idea that work is a lottery is not an appropriate lens to view employment dynamics. Much of the work found in the recommendations of the 2024 Autistica report authored in collaboration with Sir Robert Buckland KC can be supported by academic literature. If the Autistica report identifies the scenarios and problem faced by Autistic workers, then Miller and Doyle (2025) most certainly shed further light on this problematisation of a many-to-one 'lottery' scenario by providing what one might call a dialectical synthesis to the concerns highlighted in the report. According to Miller and Doyle (2025) the article mentions the theoretical framework of Khan et. al. (2023) whose literature review and empirical study on the topic is the only post-COVID era work used as authority, but the article also acknowledges that research in the area of inclusive signalling to neurodiverse applicants is relatively limited. When extending Khan et. al. (2023)'s ideas for further research in a HR context, Miller and Doyle (2025) apply a systems-based analysis of "signalling" theory (or rather a systematic approach based on academic literature) in the hiring and selection process to uncover a consummate view that the inclusion of the neurodiverse job applicant in the workplace is paramount. Both co-authors argue organisations should go *beyond* the business case for diversity in recruitment by making the process itself clearer (Ramroop, 2025).

One can divide the approach for achieving such an eventuality as follows. Firstly, Miller and Doyle treatise an argument in favour of neuroinclusive approaches by encouraging proactivity from the employer. The line of thinking goes: If an employer provides a list of 'frequently requested adjustments' then this action is therefore a proactive signal to candidates who may require such adjustments to participate in the process. Likewise, in agreement with Ramroop (2025), by sufficiently educating recruitment staff and hiring managers involved in the act of recruitment and selection on what "neurodivergent *behaviours*" are, and by thereafter implementing a follow-up action: prioritising diversity, equity and inclusion over the Spencian view of hiring as a lottery, we arrive at a mechanism which appreciates neurodiversity as a recruitment priority. Critiques may argue this may create a consequentialist dependence on prior training investment.

In contrast to Miller and Doyle's pragmatism on the subject of signalling approaches, Celani and Singh (2011) have conducted an analysis of signalling theory from a multi-level perspective (with the use of 'contextual effects'). By multi-level, or multi-hierarchical (affecting various modes of the organisation; navigating the

macro-level, the meso-level, through to the individual-level) the assessment of how recruitment-related signals are seen to reveal unknown characteristics of the organization becomes more stratified (Guest, 2021). The theory posited provides links between individual and organisation-level signals from recruitment activities. Links are made between market signals and instrumental or symbolic applicant inferences. Celani and Singh (2011) are concerned with outcomes (as opposed to the interest of Davies *et. al.* (2023) for example who are concerned with recruitment *methods* faced by Autistic adults. They therefore take up a consequentialist position (a position which derives itself from the moral philosophy of consequentialism) – with a focus on outcomes (Guest, 2021). By introducing their topic in such a way, Celani and Singh (2011) conclude by challenging readers via invitation to study a gap in the signalling literature—signalling from a recruiter perspective i.e. from the organisation’s perspective. This means to imply that the organisation (recruiter or hiring manager) does indeed perceive and internalise what Spence (1973) defines as ‘alterable’ attributes (for instance, the highest level of education signalled by the candidate or the candidate’s length of experience/number of promotions or career highlights). Signalling theory when viewed through the Spencian microscopic lens is therefore arguably either angst or incongruent (Smith *et. al.*, 2025) on the one hand, or catalyst and predicator (Lup and Canonico, 2024) on the other. By contrasting the approaches reviewed in Celani and Singh (2011) with that of Miller and Doyle (2025) it is possible to observe how in hindsight both authors take completely opposing perspectives on signalling in the context of inclusion. Chang and Chin (2018) offer a third way. They define signalling as the communication of unique information, or rather “the sending out of information that competitors cannot easily imitate” analysing HRM signalling on firm websites over a three-year period. Signalling therefore becomes important in job markets where numerous employers compete to “*increase market share*” as Chang and Chin infer (2018) stressing the importance of firm actions and separating equilibrium.

The employee ‘journey’ under competence-based HRM (Lado and Wilson, 1994) covers a vast amount of terrain including job interviews (Mirowska and Arsenyan, 2025), which are unique to every firm yet even so, an important contemporary aspect with respect to signalling theory (Barba *et. al.*, 2025) are the areas of performance management, reward and compensation and benefits, which have increasingly come under the remit of Large Language Models (LLMs)—where the problem of algorithmic bias, which is almost always inherent to generative AI, continues to surface (Galdin and Silbert, 2025; p. 36). Because competency-based HRM is about optimising the utilisation of skill, signalling theory becomes paramount to the objective of allocating resources in the organization. In the study of LLMs, Michael Spence himself condemned the “flooding of the system” with ecosystem models that are trained on poor data, in what Spence refers to categorically as models which are “rubbish” (Spence *et. al.*, 2024: p. 1985) in a recent interview. As with social desirability bias (Licon, 2025), erroneous human performance reviews for example, can be and are replicated in the form of centrality or leniency biases by LLMs (Rilke and Sliwka, 2026: p. 16).

7 | Empirical Findings

[To be completed]

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8 | Discussion

9 | Conclusion

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11 | Appendices

1. What attracts you to an organization? *Changes to* - I am attracted by the offer of interview accommodation when applying.
2. How do you perceive if a potential employer is inclusive during recruitment? *Changes to* - I am increasingly aware of inclusive wording and the behaviours of recruiters.
3. How does this impact you? *Changes to* - These impact me in a positive way.
4. What was your experience of applying to your current organization? *Changes to* - My experience of applying to my current organization was enjoyable.
5. Do you have other experiences that have been the same, or different? *Changes to* - I have had other enjoyable experiences that have been similar.
6. Do you disclose your neurodivergence during recruitment? *Changes to* - I am happy to disclose my neurodivergence during recruitment processes.
7. What has been your experience of disclosing or not disclosing? *Changes to* - My experience of disclosure has been amicable.
8. What has been your experience of adjustments during recruitment? *Changes to* - My experience of adjustments made during recruitment have been reasonable.
9. When you have been at your best during recruitment, that's like what? *Changes to* - To perform my best during a job interview, I require a specific adjustment. (Please state the specific adjustment you require during interview in your last response)
10. How did the organization help you do your best? *Changes to* - My organization helps me to perform my best.